

The Section 125 Tax Savings Guide

How Florida Companies Are Saving \$500+ Per Employee Per Year

What Is Section 125?

Section 125 of the IRS tax code allows employers to offer benefits on a pre-tax basis. When employees pay for qualified benefits before taxes are calculated, both the employee **AND** the employer save money on payroll taxes.

This isn't a loophole. It's been in the tax code since 1978. Most large corporations use it. Most small and mid-sized businesses don't — simply because they don't know it exists.

How It Works

WITHOUT Section 125	WITH Section 125
Employee earns \$50,000	Employee earns \$50,000
Pays taxes on full \$50,000	Deducts \$3,600 for benefits PRE-TAX
Then pays for benefits with after-tax dollars	Pays taxes on only \$46,400
Result: Higher taxes for everyone	Result: Lower taxes for everyone

The Numbers — Employer Savings Per Employee

Tax Type	Employer Savings / Year
Social Security (6.2%)	\$223
Medicare (1.45%)	\$52
FUTA (0.6%)	\$22
State Unemployment (avg 2.7%)	\$97
Workers' Comp (varies)	\$50 – \$150
Total Per Employee	\$444 – \$574 / year

Annual Savings by Team Size

Team Size	Annual Savings
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10 employees	\$4,400 – \$5,700
20 employees	\$8,800 – \$11,400
50 employees	\$22,000 – \$28,500
100 employees	\$44,000 – \$57,000

These savings happen every year — with no additional cost to your employees. In fact, your employees save money too.

What Qualifies?

Section 125 plans can include:

- Health insurance premiums
- Dental and vision coverage
- Health Savings Accounts (HSA)
- Flexible Spending Accounts (FSA)
- Dependent care assistance
- Supplemental benefits (accident, critical illness, hospital indemnity)

Why Most Companies Miss This

"We already offer health insurance"

Having insurance isn't enough. The plan must be structured as a Section 125 plan to unlock the tax savings. Most aren't.

"Our accountant would have told us"

Accountants report taxes. They rarely proactively restructure benefits. This is a benefits-administration function, not a tax-filing function.

"It sounds complicated"

Setup takes 2–3 weeks. After that, it runs automatically through your existing payroll with no ongoing work required.

Ready to See Your Number?

We offer a free 10-minute analysis showing exactly how much *your* company could save. No obligation. No pitch. Just the numbers.

Contact PeopleProfit360

(689) 465-6245 | admin@peopleprofit360.com

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